INTRODUCTION

Fixed-income instruments and markets are often categorized by issuer type, credit quality, time to maturity, and, sometimes, additional features, such as currency, geography, and environmental, social, and governance (ESG) characteristics. Fixed-income indexes are categorized in a similar manner and serve important functions, like the role of equity market indexes in stock markets. Like other financial markets, fixed-income markets are composed of primary markets in which issuers raise financing from investors with new issues and secondary markets where investors trade existing instruments with other investors. Given bonds' finite maturities and other features, there are important distinctions in fixed-income markets from the primary and secondary markets for equities.

Category
Fixed-Income Issuance and Trading

Learning Module Overview

- Fixed-income instruments and markets are typically categorized along three dimensions: issuer type (i.e., sector), credit quality, and time to maturity.
- Fixed-income investors have corresponding positions along the credit and maturity spectrum as they seek exposures to certain risks and attempt to match the cash flows of known future obligations.
- Similar to equity market indexes, fixed-income indexes track the returns of groups of securities that meet their inclusion criteria. Indexes are used to evaluate market performance, benchmark the performance of investments and investment managers, and form the basis of indexed investment strategies.
- Fixed-income indexes can be classified as broad-based, aggregate indexes with a vast number of constituents or narrower indexes that focus on criteria such as issuer type, credit quality, and time to maturity.
- Primary bond markets are markets in which an issuer sells a new bond or bonds to investors to raise financing, whereas secondary bond markets are markets in which existing bonds are traded among investors.

Learning Module Self-Assessment

These initial questions are intended to help you gauge your current level of understanding of this learning module.

1. Discuss two ways that an investor could seek to increase her expected return on a fixed-income portfolio.

   Hide Solution

   Solution:

   Investors could increase *credit risk* with instruments with lower credit ratings. Second, provided that the yield curve is upward sloping, investors may also increase expected returns with *longer-term bonds*.

2. Which of the following statements about fixed-income and equity indexes is correct?

indexes.

C. Fixed-income index constituents are typically equally weighted, while equity index constituents are typically weighted by issuers' market capitalization.

Hide Solution

Solution:

B is correct. Fixed-income indexes often have more constituent securities than equity indexes because issuers tend to have many types of instruments outstanding, and governments issue large amounts of fixed-income securities but not equity securities. The finite maturity of bonds and the higher frequency of new issuance lead to far more turnover in fixed-income indexes than in equity indexes. Fixed-income index constituents are usually weighted by market value of debt outstanding, whereas equity indexes are weighted by issuers' market capitalizations.

3. The Bloomberg Barclays Global Aggregate Index includes:

A. all issuer sizes.
B. issuers in multiple currencies.
C. high-yield and unrated issuers.

Hide Solution

Solution:

B is correct. The Bloomberg Barclays Global Aggregate Index includes fixed-coupon capital market securities from all major issuer types in 28 developed and emerging markets that meet the inclusion criteria. However, the index excludes high-yield and unrated debt instruments and those that do not meet minimum issuance size.

4. A debut issuer seeking to sell its bonds only to a select group of investors will *most likely* undertake a:

A. public offering.
B. shelf registration.
C. private placement.

Hide Solution

Solution:

C is correct. Bonds can be sold via a private placement, in which only a select group of investors or a single investor purchases the bonds. Bonds can also be sold in a public offering in which any member of the public may buy the bonds. Frequent bond issuers use a shelf registration, which is updated regularly and may be used for a range of future bond issuances.

5. A frequent bond issuer that seeks flexibility to issue bonds opportunistically when market conditions are favorable would *most likely* use a:

A. reopening.
B. shelf offering.
C. private placement.

Hide Solution

Solution:

B is correct. Frequent issuers of bonds have ready access to the bond market and often choose issuance timing on an opportunistic basis, when market conditions are most favorable. Frequent bond issuers use a shelf registration or a broad, all-encompassing offering circular that is updated regularly and may be used for a range of future bond issuances. A less common strategy is to increase the size of an *existing* bond with a price significantly *different* from par,

Discuss Filter

Discussion

What do you want to discuss... (required)

No messages to display

© 2025 CFA Institute. All Rights Reserved.

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search